NUTSHELL: How PLI Schemes for Electronics can be Improved Further

1. The government can work on lowering the investment threshold for Indian companies as they do not generally have deep pockets like their foreign counterparts.
2. The government can target more Indian companies and encourage them to participate in the different PLI schemes. Currently, only a handful are eligible under the schemes.
3. The ratio of investment vs output could be lowered for the Indian companies. The ecosystem to support manufacturing will take some time to mature. This could pave the way for bigger and better PLI schemes in future.
4. Manufacturers applying and approved for one scheme should be allowed to supply to categories similar to ones mentioned in other PLI schemes.
5. There could be a mention of raw materials and incentives attached to the category of products mentioned in different PLI schemes.
6. There could be a more comprehensive list of components for PLIs like LEDs and ACs.
7. A clause to progressively track the number of CKDs vs Made in India units can be introduced. This can help in gauging the efficacy of schemes over time.
8. Investments should be made in developing infrastructure related to transport, electricity, and storage of components and finished goods.
9. More adaptability and support from authorities should be provided, especially in terms of bottlenecks created by coronavirus.

there is very little presence of such domestic organisations in the country. This absence paves ways for global manufacturers to set up shop and gain more of the Indian market. If we look at the smartphone segment, the one mentioned by Indian authorities again and again, it is evident that no Indian brand exists among the top five, and may be not even among the top ten.

Further, there has been a cold response from the authorities about companies raising the issue of revising the timelines of PLI schemes based on the extreme market conditions originating as an after-effect of the still going on coronavirus pandemic. Though the Ministry of Electronics and IT (MeitY) had agreed to change the timeline for the PLI around smartphones, there was a long exchange of emails and meetings between industry organisations and authorities.

If the dates for PLI for smartphone timeline had not been changed, the likes of Foxconn, Wistron, Optiemus, Dixon, Lava, Bhagwati, UTL, Sahasra, AT&S, and Neolync would not have become eligible for any incentive from the ₹53.34 billion budget earmarked for this financial year. This could have sent a wrong message to the applicants of other PLI schemes as well.

"A serious setback the industry suffered during the peak of Covid was penalties by way of demurrage and detention charges, which were levied by shipping companies and C&F agents during the lockdown period. The Ministry of Aviation and Ministry of Shipping issued clear instructions and notifications in this regard recommending waiver of such charges but to no avail. Importers suffered significant losses on this account for no fault of theirs and have been struggling to get these charges refunded, without success. The industry's pleas seem to have fallen on deaf ears and not yielded any result," notes Rajoo Goel highlighting some of the difficulties companies in India had to face during the lockdowns.

Goel concludes, "Support to the components sector is being provided under SPECS and to some extent under PLI, but this is too little for the gigantic task on hand. Electronic components and semiconductors require an investment of at least $30 to 40 billion (₹2.25 to 3 lakh crore) by 2025, if we have to expand our components industry from the present $11 billion to $75+ billion. With a target of $400 billion electronics production, even this multiplier will meet only 50 percent of our demand for components by 2025. The current schemes provide about ₹7,500 crores (₹75 billion) to support electronic component manufacturing. The government needs to ramp up outlays by at least 3-4 times to achieve its ambitious targets." EFY

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